Nov 2026 attempt

Ind AS 19 — Employee Benefits

Four buckets. The bucket decides **discounting** and whether remeasurement goes to **P&L or OCI**.

1 The four buckets

Bucket	Examples	Measure	Remeasurement
Short-term	*Salary, paid leave, bonus — settled **wholly within 12 m** after year of service*	*Undiscounted*	—
Post-employment	*Gratuity, pension, PF, post-retirement medical*	*DC: contribution DB: PUCM, discounted*	*DB → **OCI***
Other long-term	*Leave encashment **not** wholly within 12 m, long-service awards*	*PUCM, discounted*	***P&L***
Termination	*VRS, retrenchment compensation*	*Short- or long-term rules by timing*	*As per timing*

⚠ TRAP

***Leave encashment (other long-term)**: actuarial valuation like DB, but actuarial gains / losses go to **P&L, NOT OCI** 154 - 156. Examiners love this.*

2 Short-term benefits 9 - 25

- → ***Accumulating** absences (carried forward) → recognise when service **increases entitlement** — both vesting and non-vesting (non-vesting: adjust for expected forfeiture)*
- → ***Non-accumulating** absences (e.g., sick leave lapses) → recognise **when absence occurs***
- → ***Bonus / profit-sharing** → when **present legal or constructive obligation** from past events + reliable estimate* 19
- → *Temporary change in settlement timing → no reclassification; reassess if characteristics change* 10

3 DC vs DB — who bears the risk?

Defined contribution

*Fixed contribution; **employee** bears actuarial & investment risk. Expense = contribution payable for service. EPFO (RPFC) PF, ESI, NPS.*

Defined benefit

*Entity promises a benefit; **entity** bears risk. Gratuity (Payment of Gratuity Act), pensions.*

*PF in a **company-managed exempt trust** with **guaranteed interest rate** → DB (shortfall risk sits with employer).*

NUMERICAL FAVOURITE

4 Net defined benefit liability (asset) 57 - 64

Net DBL = PV of DBO − FV of plan assets · surplus capped at **asset ceiling** (PV of refunds / reductions in future contributions)

→ Method: **Projected Unit Credit**; attribute benefit per plan formula — **straight-line** if back-loaded

→ **Discount rate**: market yields on **government bonds** at RD 83 (Indian change; IAS 19 uses high-quality corporate bonds — foreign subs / branches use corporate bonds where deep market)

5 Three components — where each goes 120

Component	Includes	Goes to
Service cost	Current service cost; past service cost (incl. curtailment); settlement gain / loss	**P&L**
Net interest	Discount rate × **net** DBL (at start, adjusted for contributions / payments)	**P&L**
Remeasurements	Actuarial gains / losses; return on plan assets **excl.** net interest; change in asset ceiling **excl.** interest	**OCI — never recycled**

P&L sees "S + I" (service + interest). OCI sees "R" (remeasurement). OCI may move to retained earnings, **never to P&L.**

6 Movement table — the exam layout

DBO (PV of obligation)	Plan assets (FV)
Opening	Opening
+ Current service cost	+ Interest income (opening × rate)
+ Interest cost (opening × rate)	+ Contributions received
+ Past service cost	− Benefits paid
− Benefits paid	± **Return excl. interest (balancing → OCI)**
± **Actuarial loss / (gain) (balancing → OCI)**	= Closing (given by actuary)
= Closing (given by actuary)	

⚠ TRAP

Interest on plan assets uses the **discount rate, not** the actual / expected return. Actual return − interest income = remeasurement (OCI).

7 Past service cost, curtailment, settlement 99 - 112

→ **Past service cost** (plan amendment / curtailment) → **immediately in P&L** — no spreading over vesting period (unlike old AS 15)

→ Recognise at the **earlier** of: amendment / curtailment occurs, **or** related restructuring costs (Ind AS 37) / termination benefits recognised 103

→ **Settlement** gain / loss = PV of DBO settled − settlement price → P&L

2019 amendment 122A

On amendment / curtailment / settlement during the year → **remeasure** net DBL with **updated assumptions**, and use those **updated assumptions** for current service cost & net interest for the **rest of the period**. Asset ceiling effect handled separately (through OCI).

⚠ TRAP

Law change increasing benefits (e.g., new Labour Codes widening "wages" for gratuity) = **plan amendment** → **past service cost** → **P&L immediately**, not OCI. Verify applicability date for your attempt.

8 Termination benefits 159 - 171

→ Arise from **entity's decision** to terminate or employee accepting an **offer** (VRS) — not from future service

→ Recognise at the **earlier** of: **(a)** entity can **no longer withdraw** the offer; **(b)** entity recognises **restructuring costs** (Ind AS 37) involving termination benefits 165

→ Settled within 12 m → short-term rules; otherwise → long-term (discounted)

⚠ TRAP

Benefits that are conditional on **future service** (stay-till-closure bonus) are **NOT** termination benefits — attribute over the service period.

9 Presentation

→ Ind AS 19 doesn't split current / non-current → apply **Ind AS 1**: actuary's estimate of amount payable within 12 m → **current**

→ Offset plan assets of one plan against another's obligation only with legal right + intent 131

→ Disclose **sensitivity analysis** for significant actuarial assumptions

→ **Share-based payments** → Ind AS 102, not Ind AS 19

10 Cross-standard links

→ **Ind AS 1** — remeasurements in "items that will **not** be reclassified"; current / non-current split

→ **Ind AS 12** — gratuity / leave provisions deductible on payment (Sec 43B) → **DTA**; DT on remeasurement → **OCI**

→ **Ind AS 37** — restructuring provision timing drives termination benefit & past service cost timing

→ **Ind AS 10** — bonus fixed after RD where obligation existed at RD = adjusting (para 9(d))

→ **Ind AS 8** — change in actuarial assumptions = estimate (handled as remeasurement)

→ **Ind AS 2 / 16** — employee cost directly attributable may be capitalised into inventory / PPE

11 AAA bridge

Area	Requirement
SA 500 (para 8)	Actuary = **management's expert** → evaluate competence, capabilities, objectivity; understand work; evaluate appropriateness
SA 620	Only if the **auditor** engages their own actuary (auditor's expert)
SA 540	Assumptions: discount rate (G-sec), salary escalation, attrition, mortality
SA 580	Representation that significant assumptions are reasonable
CARO 3(vii)(a)	PF, ESI and other statutory dues deposited regularly; arrears > 6 months
Exempt PF trust	Check interest shortfall vs guaranteed rate → DB liability

> ✍ **Write in exam**
> "Leave encashment that is not expected to be settled wholly within twelve months after the end of the annual reporting period is an other long-term employee benefit. It is measured using the projected unit credit method, and as per para 156 of Ind AS 19, remeasurements are recognised in profit or loss, not in OCI."

> ✍ **Write in exam**
> "Remeasurements of the net defined benefit liability comprising actuarial gains and losses and return on plan assets excluding amounts included in net interest are recognised in OCI and shall not be reclassified to profit or loss in a subsequent period (para 122)."